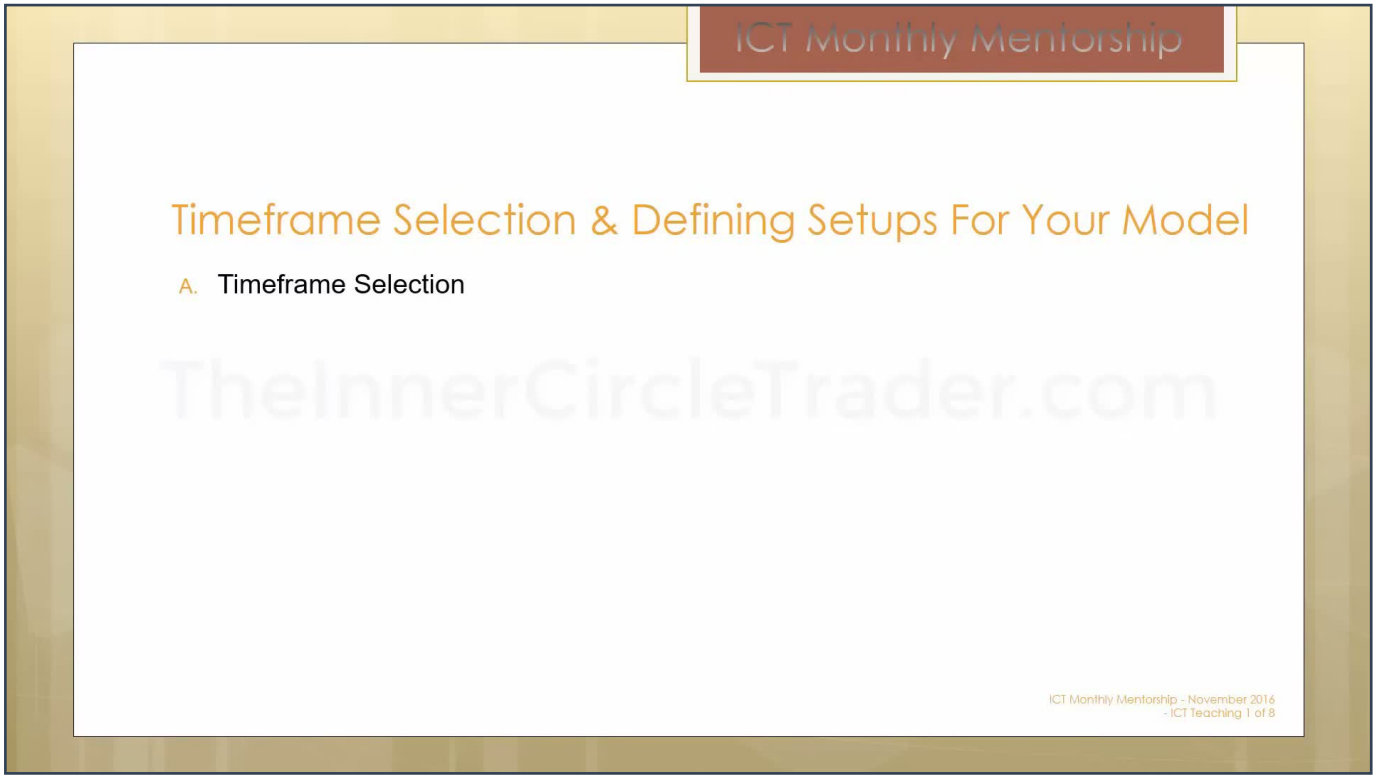
ICT MENTORSHIP CORE CONTENT

ICT MENTORSHIP CORE CONTENT - MONTH 03 - TIMEFRAME SELECTION & DEFINING SETUPS

Welcome to the first of eight teachings in the third month of the ICT Mentorship. This topic will specifically deal with timeframe selection and defining setups for your model.



For timeframe selection, there are a couple things that we break down in general ideas and terms.

- The Monthly Chart is used for Position Trading.

- It is for folks who are intraday intolerant, meaning you can't do anything in lower timeframes. The Monthly Chart will actually do a lot of assistance for your trading and your analysis.

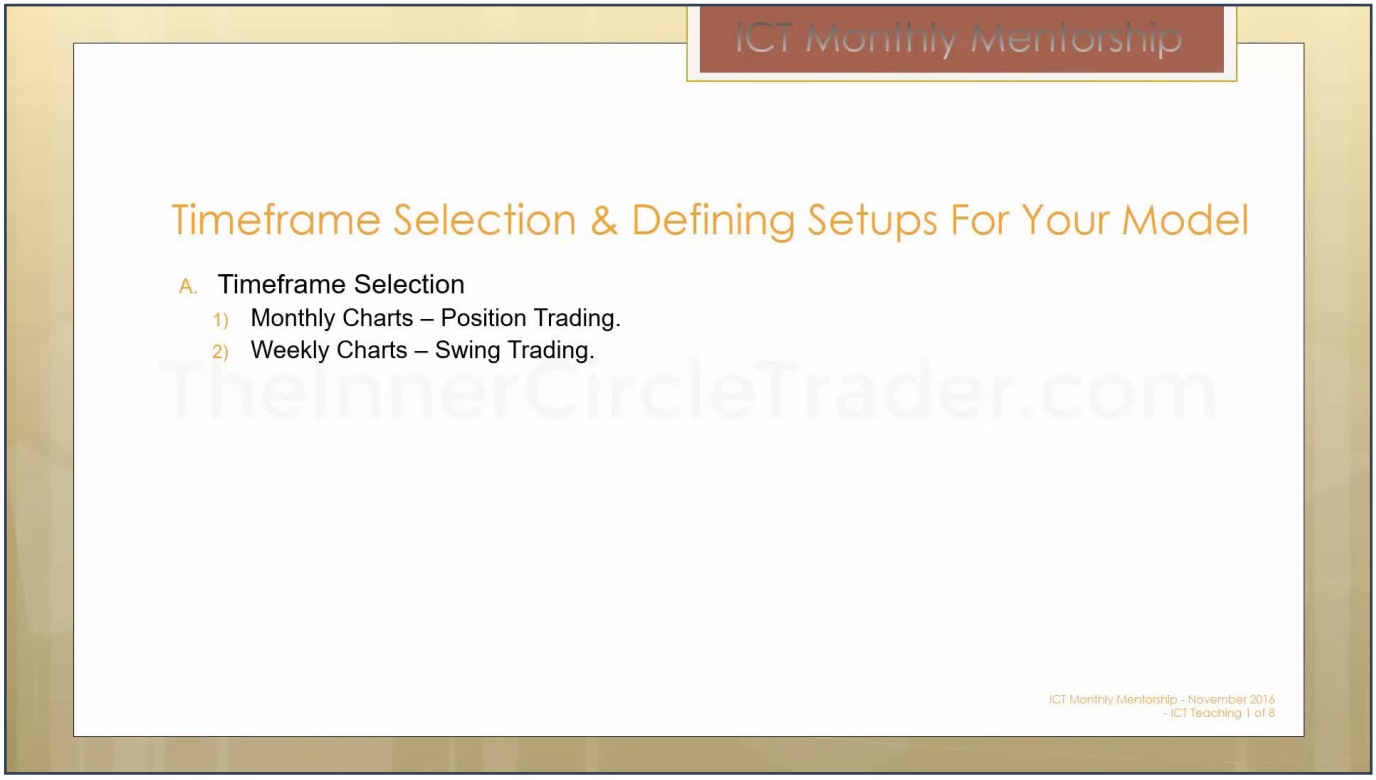
- Don't be discouraged by the fact that I do a lot of intraday work and short-term trading. You'll be shocked to learn as we go through this mentorship, the precision and the accuracy that I have has a lot to do with the direction that's derived by the information on the Monthly Chart.

- The Monthly Charts are the basis, if you will, for our long-term position trading.

I am not a long-term trader; I don't have the personality to hold on to a position that long. I tend to change my mind a lot, and that doesn't fit well for a long-term position trader.

- If you're a person that takes a long time to make a decision, it comes hell or high water, you're sticking with it, that's probably the avenue that would best suit you as a trader.

- You determine this by actually doing trades. If you get real scared or if you get real hyper about the short-term nature of trading, if you trade on these longer-term charts, or at least trade off of the ideas that come from the Monthly Charts, it removes a lot of the price action shock that comes with intraday trading or short-term trading.



The Weekly Chart we use for Swing Trading.

- Swing trading is a little bit more frequent than long-term position trading.

- By my definition, swing trading is typically one or two trades within a three-month period. So every quarter of the year, in other words, every three to four months, there's going to be a setup that takes place.

- You can find them very easily on a Weekly Chart, but because the Weekly Chart is much like the Monthly in regards to how long it takes to form the setups, it takes a great deal of patience.

- While I am attributed to having a lot of patience, it's not that great; the well doesn't go that deep, I don't have that much patience.

- The Weekly Chart, again, while I may not be trading specifically on the setup itself, I will use those ideas to help frame the short-term trades that I take or even intraday trades.

- For swing trading, for those individuals that can't be in the marketplace on a very intraday minute by minute basis, the Weekly Chart will actually serve you very well. You don't have to do a whole lot of trading; there's a whole lot of time in between the setups.

- Much like the Monthly Chart, it removes that initial shock of short-term volatility.

Now the Daily Chart, that's where we do our Short-Term Trading.

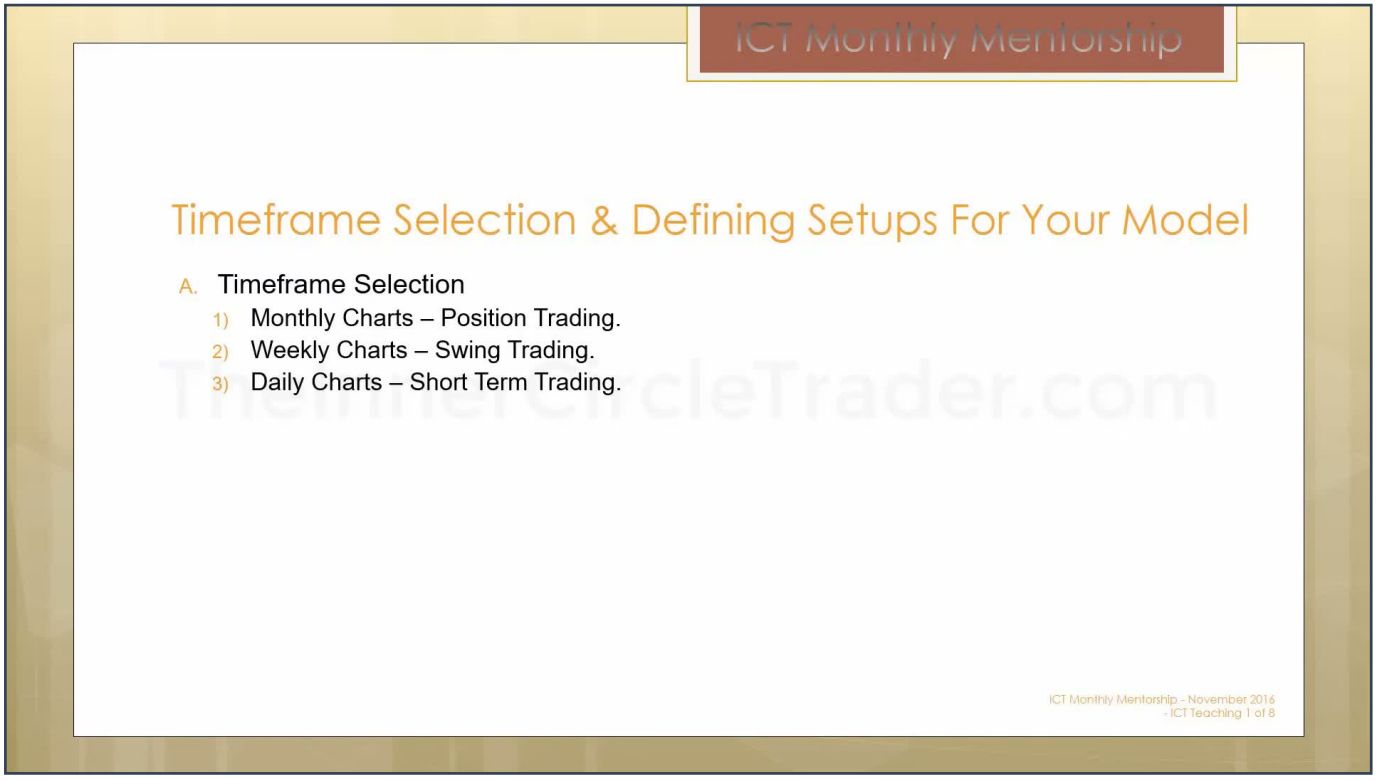
- The Daily Chart, to me personally, I believe this chart is the best chart there is because it gives you the best of both worlds.

- It gives you a long-term perspective.

- It gives you all of the near-term banking levels, so all the levels that the banks would be interested in, all the large funds would be interested in, you can clearly see those on this Daily Chart.

- The Daily Chart also gives us the framework to do a lot of analysis for short-term trading. So it has the benefits of higher timeframe but not to the degree of weekly and monthly, but it does give you a higher timeframe perspective.

- If we can arrive at strong analysis reference points in terms of institutional order flow, if we can look at points at which there may be stops, there may be a liquidity void, there may be a fair value gap – these ideas, much like we said in the first month of this mentorship, what things you should be specifically focusing on – those ideas if you apply that to the Daily Chart, you'll have a plethora of setups and plenty of things to trade on.



You can trade on a Daily Chart if you are the type of trader that hasn't the opportunity to trade in front of the charts, being the intraday price action, or again, if you're not comfortable trading in those lower timeframes.

- The Daily Chart does a very good job of suiting swing traders and short-term traders.

- That to me is the reason why I like the Daily Chart the best. If there was a chart selection I had someone hold a gun to my head, which chart would I like to trade off of, it would be the Daily Chart.

- It gives you a great deal of range to work within, it gives you the interbank levels to be monitoring where stops would be residing, where long-term objectives would be seen in the form of liquidity above or below the marketplace.

- I counsel you that can't be in the day trading models that we use to try to at least try your analysis on the Daily Charts; try to work on those specific timeframes.

- If you still feel very sensitive or scared, or if you have a lot of emotional influence over your emotions by watching price on the Daily Chart, it seems a little still too fast for you, move up to the Weekly Chart. There's nothing wrong with doing that, it just takes a lot more time.

- Unfortunately, some of you that are listening, you may have a business, you may have a lot of things going on in life, maybe you're a college student. Maybe you can't be in front of the price action on an intraday basis.

- When we trade these higher timeframes, you're going to see that there's a lot of movement available, but you're going to have to submit to a lot of time too.

Obviously, four hours or less is Day Trading.

- We're not going to speak too much about Day Trading in this particular teaching because there's a lot of things that we have to go in regards to Day Trading and specific concepts that are inherently related to time of day.

- While we're not going to teach that here, the focus is timeframe selection and what timeframe are we using these specific timeframes for.

Now defining setups for your model, it's important as a mentor, I don't try to force you into a specific mold. It's never been my goal to give you a 'copy me, be just like ICT' approach; that's not going to work, it's never going to work for anyone. But it does give you a goal, it gives you a framework to work within.

- While striving for replication of some of the things you probably see me do, you're going to discover the trader that actually resides in you.

- When that happens, and no one knows when that's going to occur, you'll know it by experience: being in the marketplace, looking for specific things, and studying.

- One day, you'll have an epiphany where all of these things will suddenly make sense to you, and you'll know what type of trader you want to be.

- And what's even better is you'll actually know what setups you like.

It's one thing for me to say I like a 'four-hour turtle soup sell into a bearish order block that's seen on a daily chart.' Well, that might be a setup that you can't wait for; it may require a lot more patience than you have to do that.

- That same setup, if it was done on say, for instance, a 'weekly turtle soup sell into a monthly bearish order block,' I can't wait for that; I would never have any trading opportunities because they don't happen that often.

- But if it just happens to be the time when you look at the charts and you see that formation, then obviously that's your setup. But your pattern or your bread and butter go-to setup, once you understand it, it's applicable on all these timeframes.

- What makes the timeframe selection process unique and why it's important for you as a trader to determine how you're going to trade it is because your comfort level and your psychological makeup as a trader has to align with that.

- In other words, your patience level, your aptitude, and your life – let's just be real about it – your life has to allow you the ability to be in front of the charts or at least do the analysis and then execute on that analysis.

- So when we look for setups, we have to find setups that are uniquely defined for your specific trading model.

A lot of folks will say, 'ICT, you got a lot of tools, you have a lot of things that you know, you have a ton of things. Do we have to know all these things?' No, that's the benefit of studying conceptually and modularly.

- Because you'll quickly ascertain whether or not a specific pattern or concept gels with you. In other words, does it resonate with you as a trader?

- You're going to find that some of the systems and things out there and analysis aren't really uniquely attractive to you as a trader, and I've experienced that as a trader coming up.

- It wasn't a lot of things out there that I got excited about, but the few things that I did, early in my days, it was commitment of traders report, accumulation distribution, things relating to patterns.

- I liked the patterns because I wanted to see specific things that repeat, because obviously like anything else, if you can see something coming, you know obviously you know what to do should you see an opportunity coming.

- The problem is, is many of the things I was studying, I couldn't find them real time or before they actually came to fruition.

As I refined my trading model and specifically dealt with institutional order flow and price action, then suddenly it was like the veil was lifted and I had blinders removed from my eyes. Then I could see setups that made very specific formations and they had specific criteria that I can really define and make it very objective about how I trade.

- Which is what I was looking for as a trader when I first started, but when I first started, I was looking at indicators thinking that was going to be the answer.

- You probably, if you're listening, you probably have had that same feeling like you want to feel informed, you want to feel like you know what you're looking for, but because you don't – and it's normal for you not to know what that is when you first start trading, even for some that waffle for the first couple years and they still can't find the rhythm – they will sometimes look to an indicator to give them a reason to do something.

- And because they need to be told something outside of their own ability to decide, sometimes you'll see that the indicator will lead you to a setup, but then most of the time it really doesn't, and it's because most of your trades are linked to a mathematically derived indicator.

When we look at setups, we're looking at specifically finding unique characteristics that repeat themselves over and over again in price action.

- Because there are generic characteristics and traits in price action that repeat over and over again, they're not limited to any one of these specific timeframes.

- So when we look for specific setups, we're going to find a setup that we individually as a trader like the most, the one that we can see easily.

- You're going to see that while some of them overlap, some of them won't overlap, but they still will give you an opportunity to be in the marketplace in the right direction.

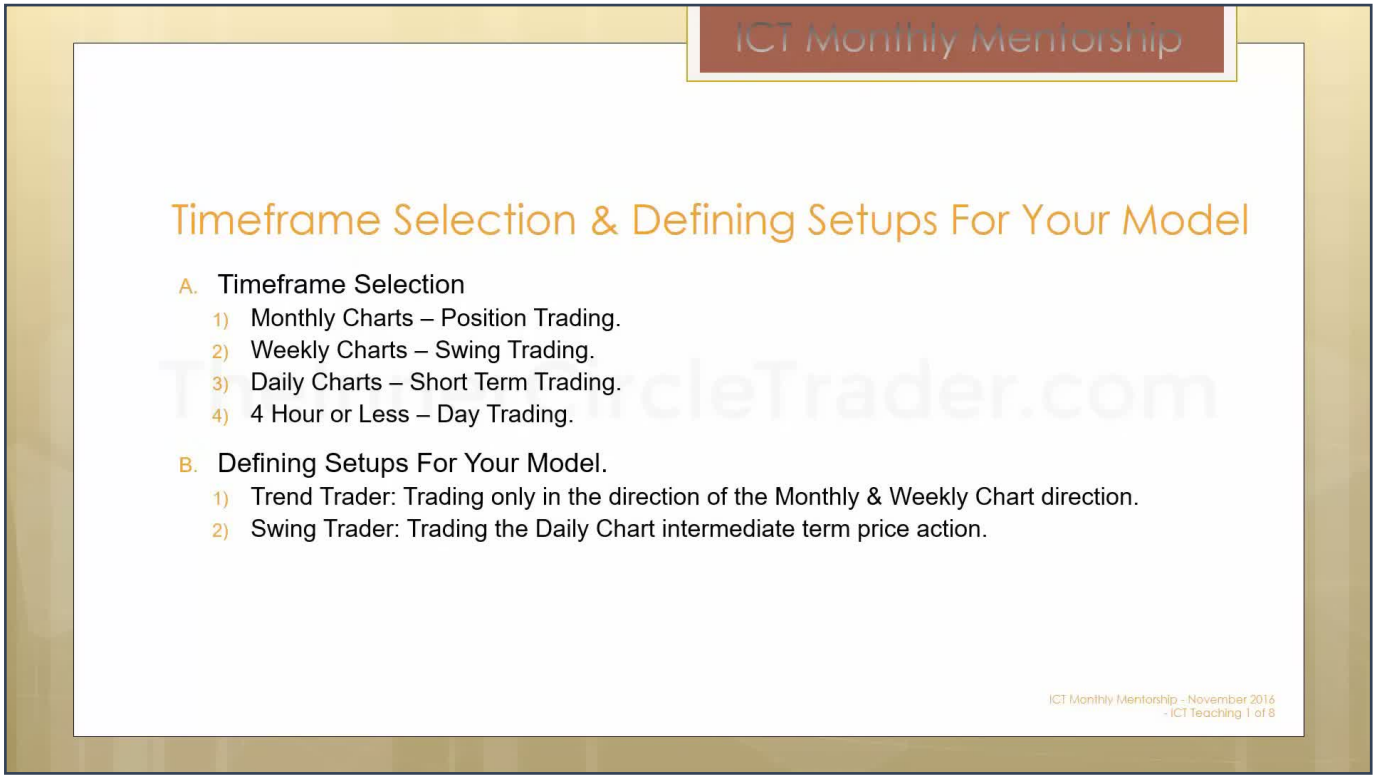
A Trend Trader is one model that a trader can be using all my concepts with.

- You'll be trading only in the direction of the Monthly and Weekly Charts.

- In other words, if the Monthly and Weekly are indicating it's going to be a bearish marketplace, you're going to only be trading short and holding on to these positions for a great deal of time.

- If it's bullish on the Monthly and Weekly Chart, obviously you're going to look for buy signals, you're going to hold them for a great deal of time.

- That is the nature of trend trading, and again, I am not a long-term position trader. While I tried that early on in my career, it didn't fit me and it didn't tickle my fancy.



Now, a Swing Trader, which I've done a lot in my early days, but because I found that it was more of an allure for me to be in the marketplace more than just a couple times a month.

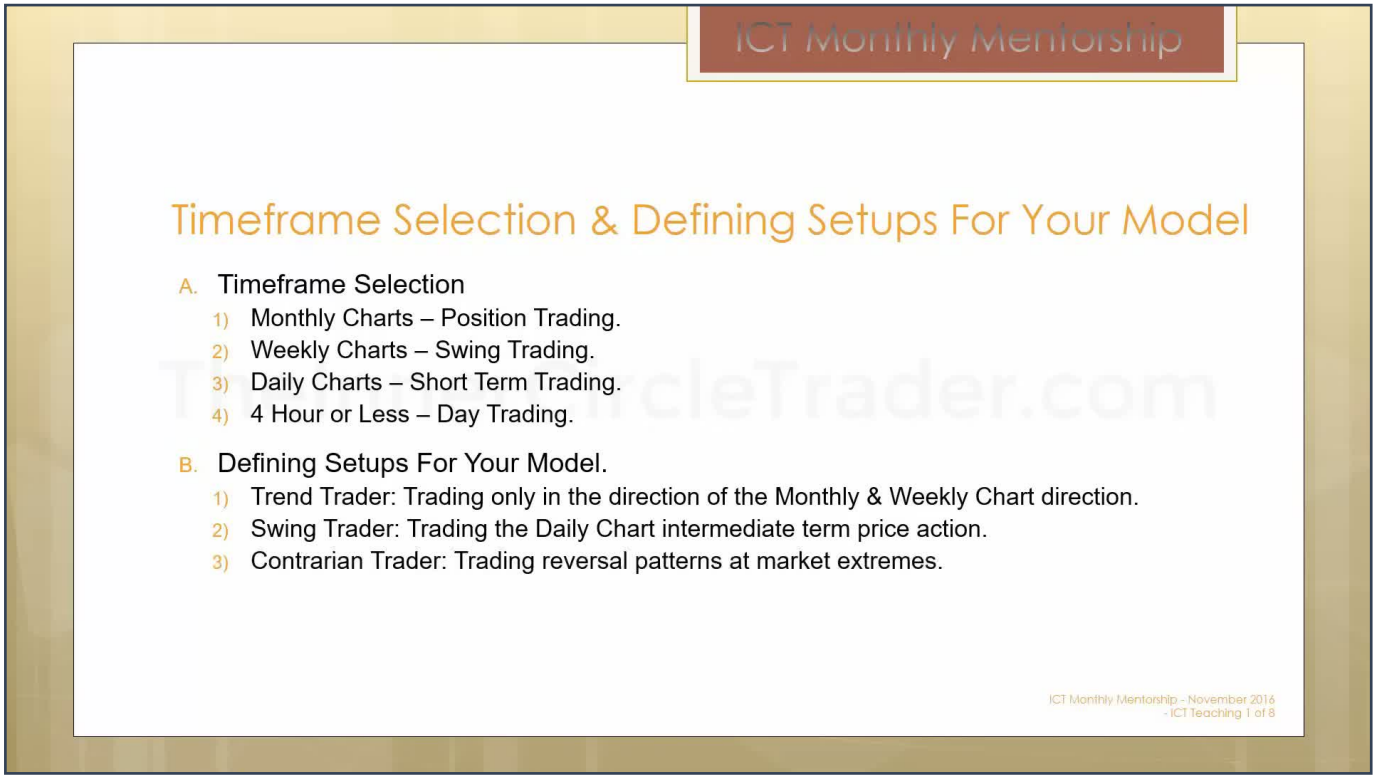
- A Swing Trader, they're trading the Daily intermediate term price action, and you're going to see there's a lot of setups that require you to sit on your hands and wait, but when they form and you position yourself in them, they offer stellar rewards and they just go on and the payouts are amazing.

- But again, it requires a great deal of patience. So I can tell you as your mentor, I just don't have a lot of patience for swing trading on the Daily Chart; it just takes too much time to wait for the setups and for the trades to pan out.

- I want my money to have velocity. In other words, I want to be able to put my money at work, let it do its thing, get my return, and then compound that return rate and my base equity and put it back to work again into something that gives me more velocity.

- When I say these things, I'm not trying to talk those individuals that are comfortable trading on a Monthly Chart or Weekly Chart. I'm trying to tell you that me personally, what I found about myself as a trader, my defined setups are on a lower timeframe than the Daily Chart. So it requires a little bit more dynamic study and time in front of the charts, but that's what my unique model is; I excel in that approach to trading.

- You again may not be set up psychologically or emotionally prepared to trade like that, and there's nothing wrong with that. So don't think that I'm trying to force you into a specific trading model or a mode of trading; you're going to discover that as we go through these 12 months.



Also, you're going to learn this is how I started as a Contrarian Trader.

- It doesn't always mean that being contrarian is the right way to go about it, and it doesn't mean that not being a contrarian is the right way always as well.

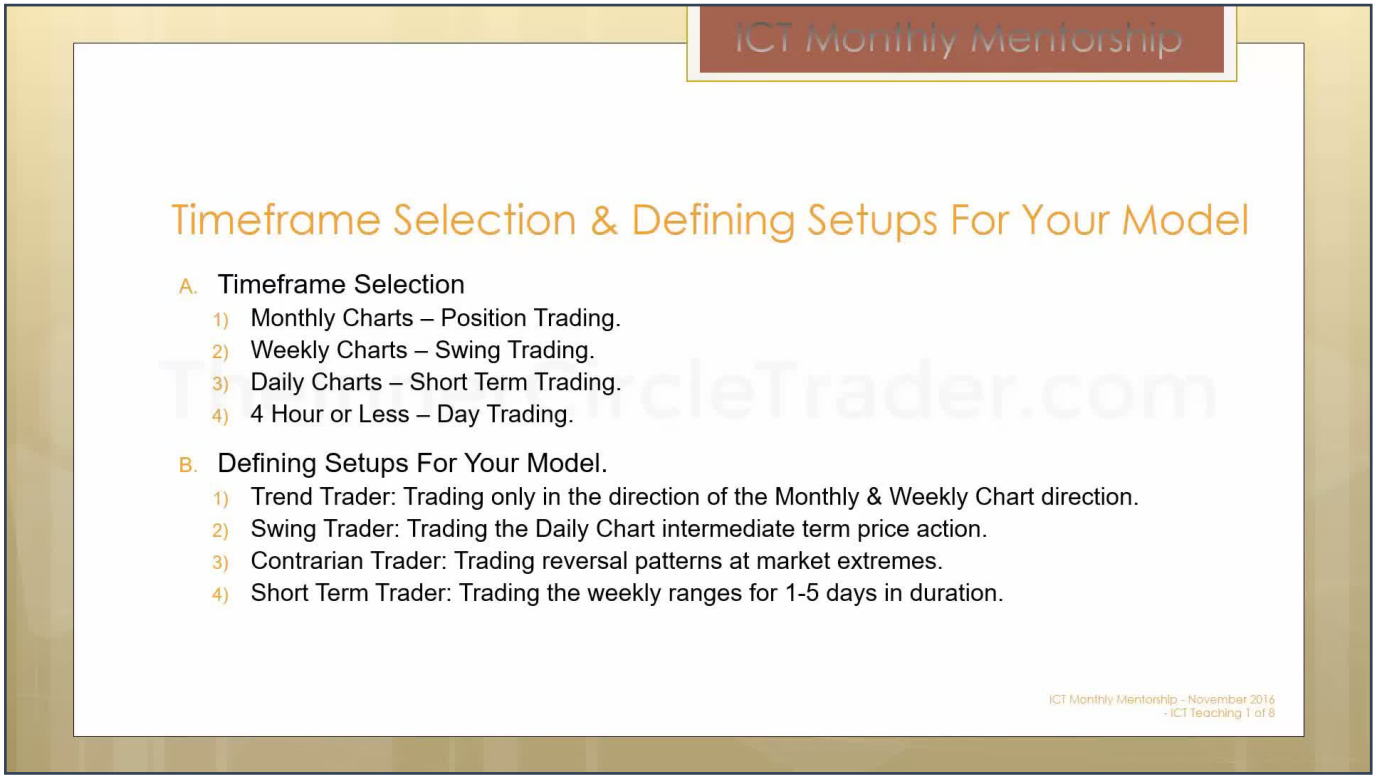
- There's going to be times when to be a contrarian trader is optimal, and what you're basically doing is you're trading reversal patterns at market extremes.

- So when the market's really gone a great distance higher and it's been moving higher for a long period of time, eventually it's going to hit a specific level or significant level, I should say, usually and typically it's on a higher timeframe.

- It will create reversal patterns. Now, it doesn't mean the market's going to reverse and create a top there; it can, and sometimes it will. But you can still trade reversal patterns at extreme moves, or what would become referred to as capitulation, where the market just moves extremely – you know, that last bit of burst higher if it's been bullish, or that quick sudden drop with a great deal of magnitude going lower, and it usually makes the low of the move.

- Generally, sometimes you're going to see that there will be times where you want to be contrarian and see that move as a blow-off move and it's the end of the move, and you can probably get some really good setups in the form of a reversal pattern.

- But it doesn't always have to require capitulation; it could be on a short term basis where if you watch the Daily Chart, we may go above a previous month high, and that may be a really good selling scenario to sell short, but not forever, but it's still an opportunity to trade with.



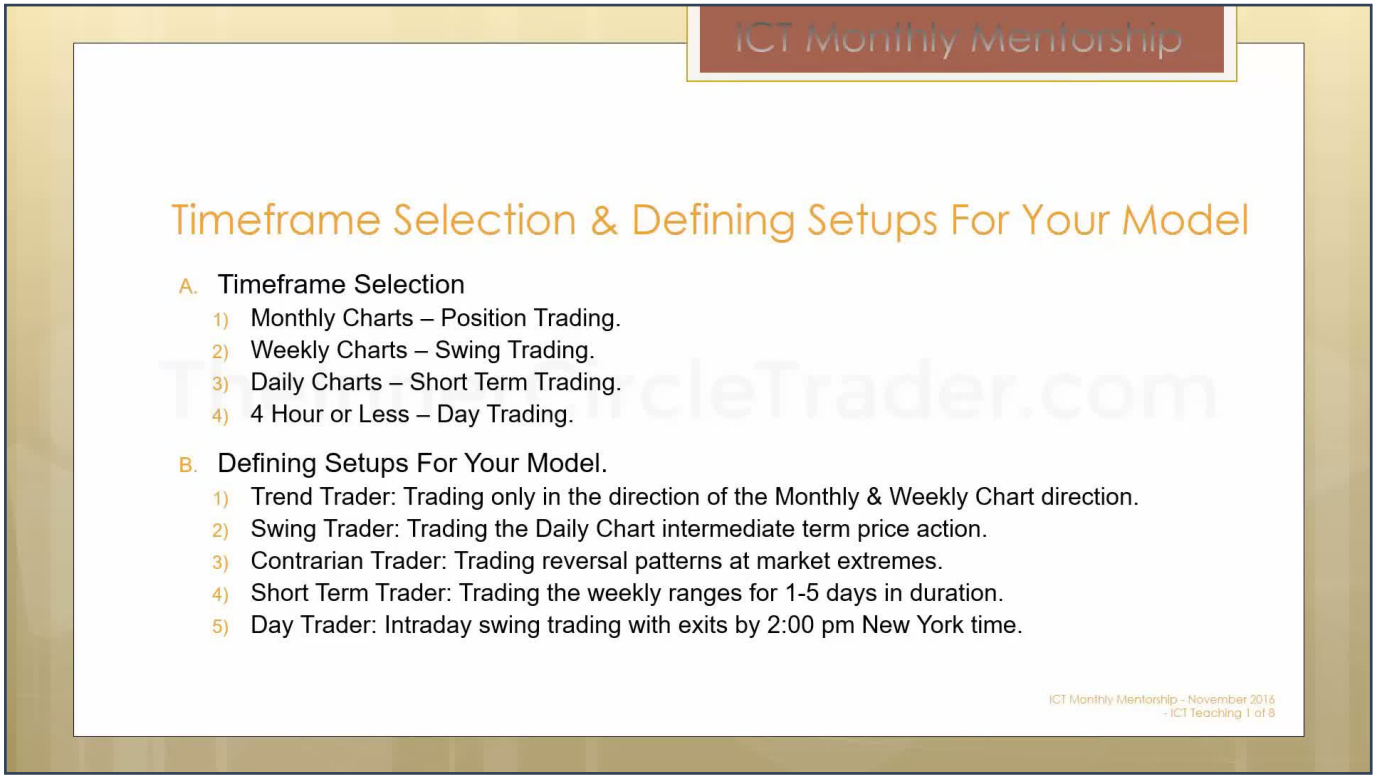
And then for Short-Term Trading, which again that's what I excel in.

- You're trading the Weekly ranges and you're holding for typically about one to five days in duration.

- And then obviously setups that are found for the Day Trader's model where you're trading intraday swing trading with exits by 2 PM New York time.

- When we look at this, this is the actual broad brush idea of everything that I do as a trader, everything I've done as a trader, how I excelled from using long term higher timeframe charts down to what we're seeing here in number five and number four, in respective terms of timeframe selection.

- Four hour or less, that's where I excel at, and then my setups are day trading in nature.



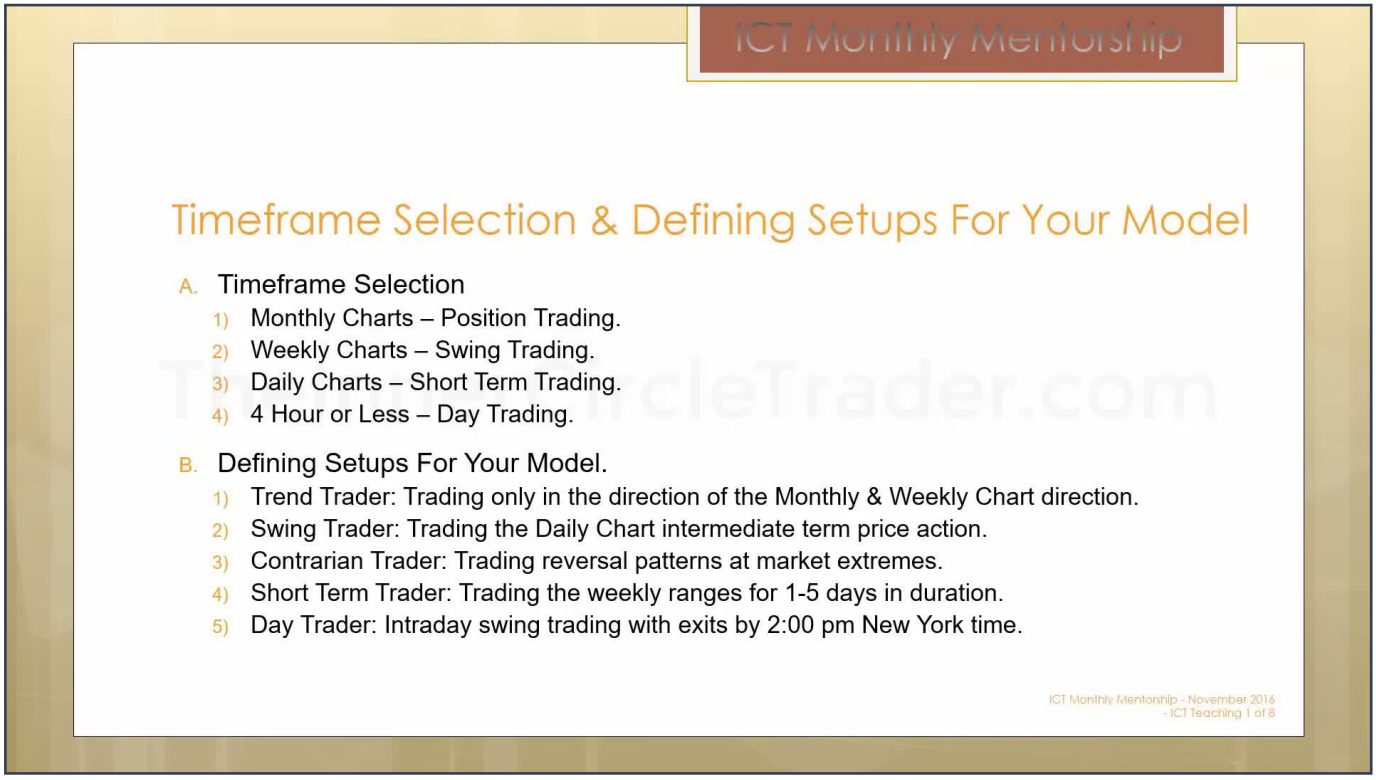
Again, because I have a universal application and I have experience doing all these types of trading, just because I don't elect to trade on a Monthly or Weekly or Daily all the time, what I'm actually telling you is I can do that, but because of my appetite for more action and because I want to put my money at work faster, get it ready to return and put it back to work again, so I can turn it and capitalize on velocity, turning my money over and over and over again quicker.

- I have adopted the mindset that that's my goal, that's my pursuit. So therefore, to do that more efficiently and expediently, it's going to be in the form of day trading or short-term trading.

- Do not let me convince you or try to talk you into that's the best way to go, because it's not; it's not for everyone.

- So you can still compound your money exceedingly well trading on a higher timeframe charts, believe me. It's not about the setups or the timeframe; it's about your unique alignment with the setups and the timeframe that meets the happy medium for you as a trader.

- Because all of us have a family, all of us have real world tug of wars that take place. You know, some of us have spouses that require a lot of our time. You know, some of us are in high maintenance relationships, some of us are in codependent relationships, some of you are not in a relationship. Some of you are doing things that are going to be a barrier to you doing a lot of trading or a lot of studying, and it's going to require you to do a lot more research and action in those higher timeframe Monthly and Weekly Charts, and the Daily.



But if I were to counsel you and you were going to listen to me, I would suggest that you start in the Daily Chart.

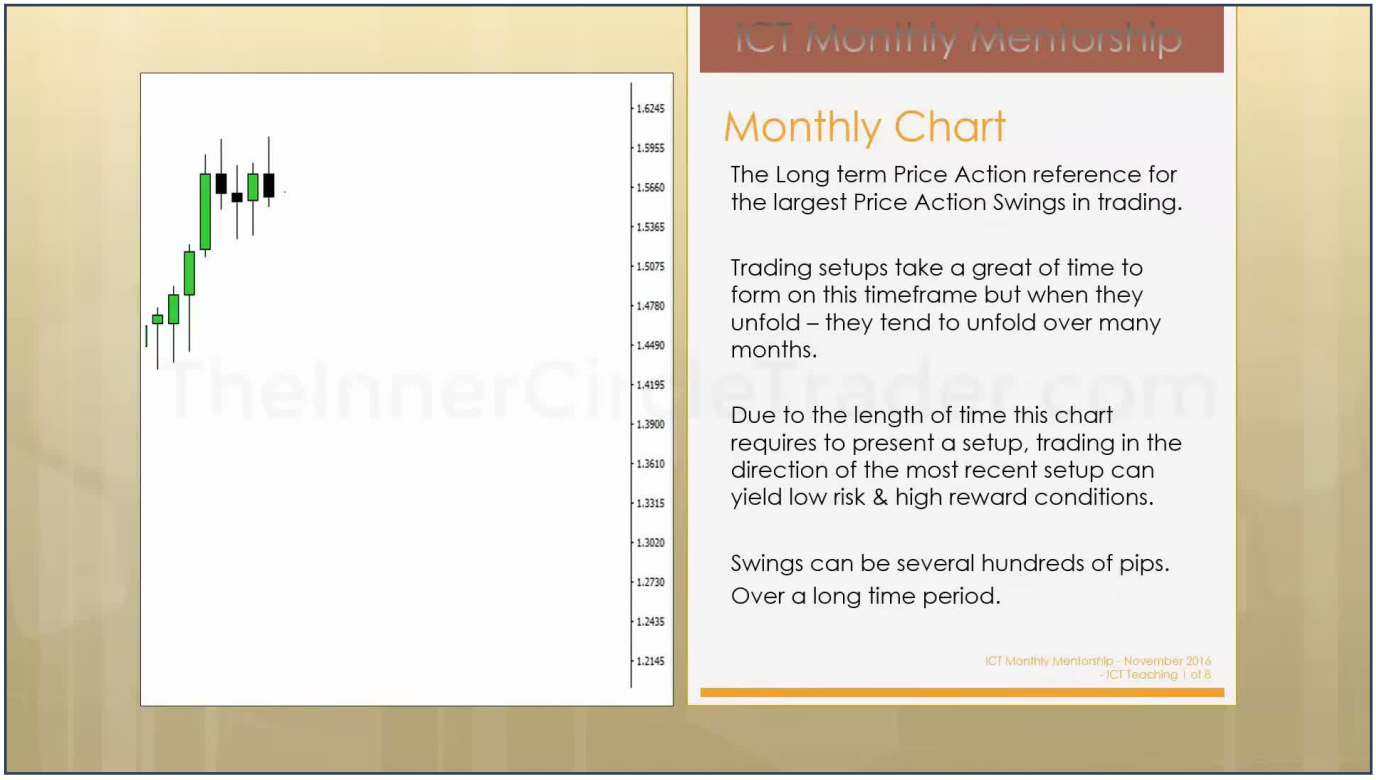
- Even if you're going to know it in your heart of hearts that you're going to try to be a day trader, start the Daily Chart because the Daily Chart is going to be a really good bellwether.

- It's just the one that will give you everything you need to know with a lot of the higher timeframe reference points, and it'll also give you the directional bias that everybody looks for and they're always asking by way of email, 'You tell me how to get in, where to buy, and how do I know today's going to be up or down?' Well, you find that on the Daily Chart; that tells you everything there.

- And once you go through this teaching and the next teaching with institutional order flow, you'll see how easy and the daily bias is really; it's not that hard, but the problem is trusting it. That's the hard part.

MONTHLY CHART ANALYSIS: LONG-TERM PRICE ACTION REFERENCE

TIMESTAMP: 00:20:38



Let's take a look at a Monthly Chart. The Monthly Chart, its premise or its influence in your analysis is it's the long-term price action reference for the largest price action swings in trading.

- Now, trading setups that take a great deal of time like this, they form in a timeframe that most people can't bring themselves to trade.

- But when they unfold, these setups that you see in the Monthly Chart, they tend to unfold over a period of many months; they don't just happen like little blips on a five-minute or one-minute chart, they just go on and on and on.

- Due to the length of time this chart requires to present a setup, trading in the direction of the most recent setup can yield the lowest risk with the highest reward conditions.

- What I mean by that is when you have the directional bias, or 'trend' (I'll say it with quotation marks), if you can see where the market's going to most likely go on a Monthly Chart, you have a great deal of advantage by trading in that direction, even if you don't catch the actual move that creates the optimal entry for a sell or a buy.

- Because it's a Monthly Chart, the very nature of its timeframe, it gives us a great deal of time to still capture moves in that same directional bias or in that trend direction.

- Swings that form on the Monthly Chart obviously they can be several hundreds of pips and it's going to require a long period of time to unfold.

MONTHLY CHART EXAMPLE: EURO USD BREAKDOWN

TIMESTAMP: 00:22:08

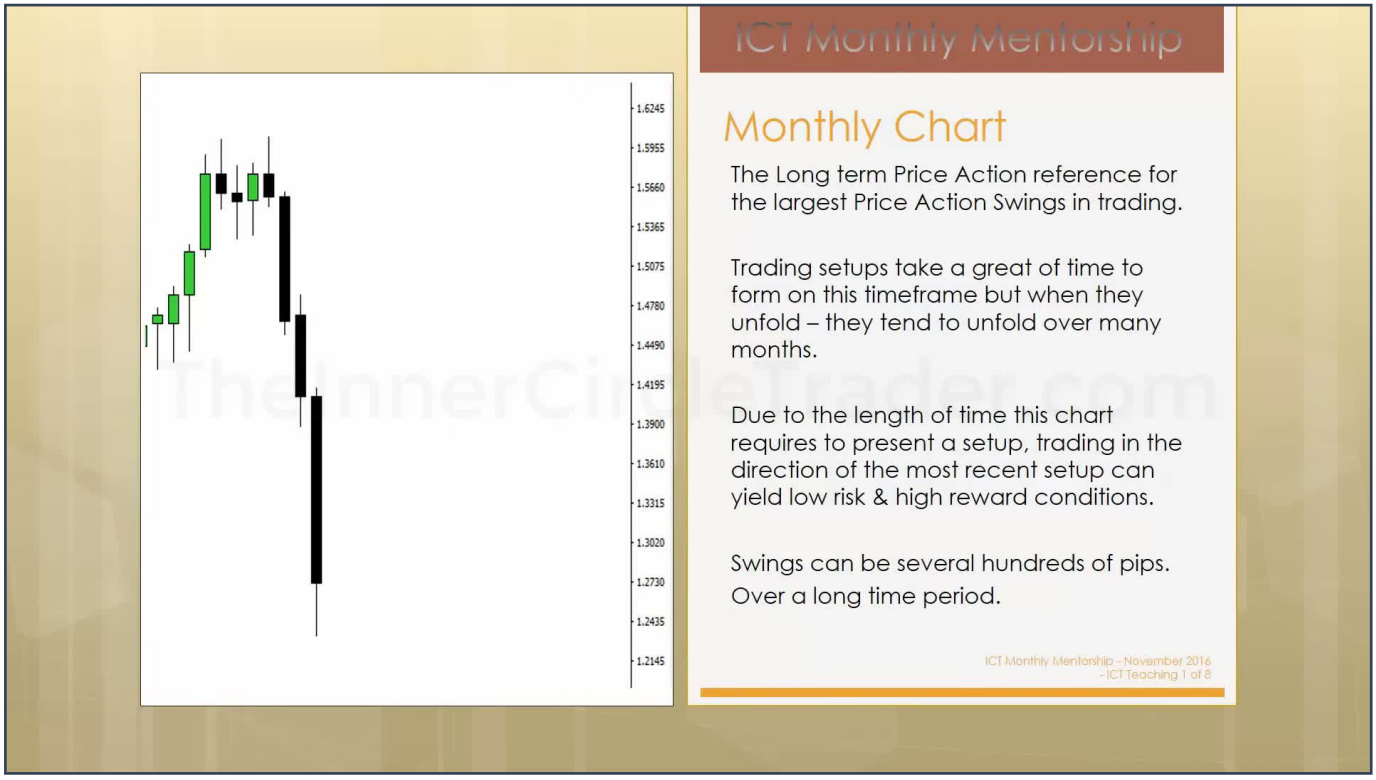
Let's take a look at a sample size of price action on a Monthly Chart here. Obviously, we just turn our charts on, we look at this is what's recently happened here, and all of a sudden the very next month we see that. Okay, we weren't watching price closely, this particular market was unclear to us at the time, but right away now we know that there's somebody in the marketplace moving price around.

- Go back to the very first teaching in this mentorship where I tell you to look for markets that want to show a strong willingness to move away from a particular level.

- Prior to that down move, we saw price in a small little consolidation, about 600 pips or so in range, and then finally the market broke down on a monthly basis. So each one of these candles represents a month's worth of data.

- Eventually the market takes a greater deal of magnitude lower, its surge is lower.

- Again, take a look at how many pips this would be, and obviously this is the Euro USD. The move from 1.5950, we'll call it, all the way down to let's just say 1.2450. That's a lot of pips, a lot of pips.



Now when you see this, it's rather shocking when you view it in terms of how many pips are available, and it takes you three months to cover that much distance, or a little bit well, four months to cover it really. So in four months, the Euro Dollar trades a couple thousand pips.

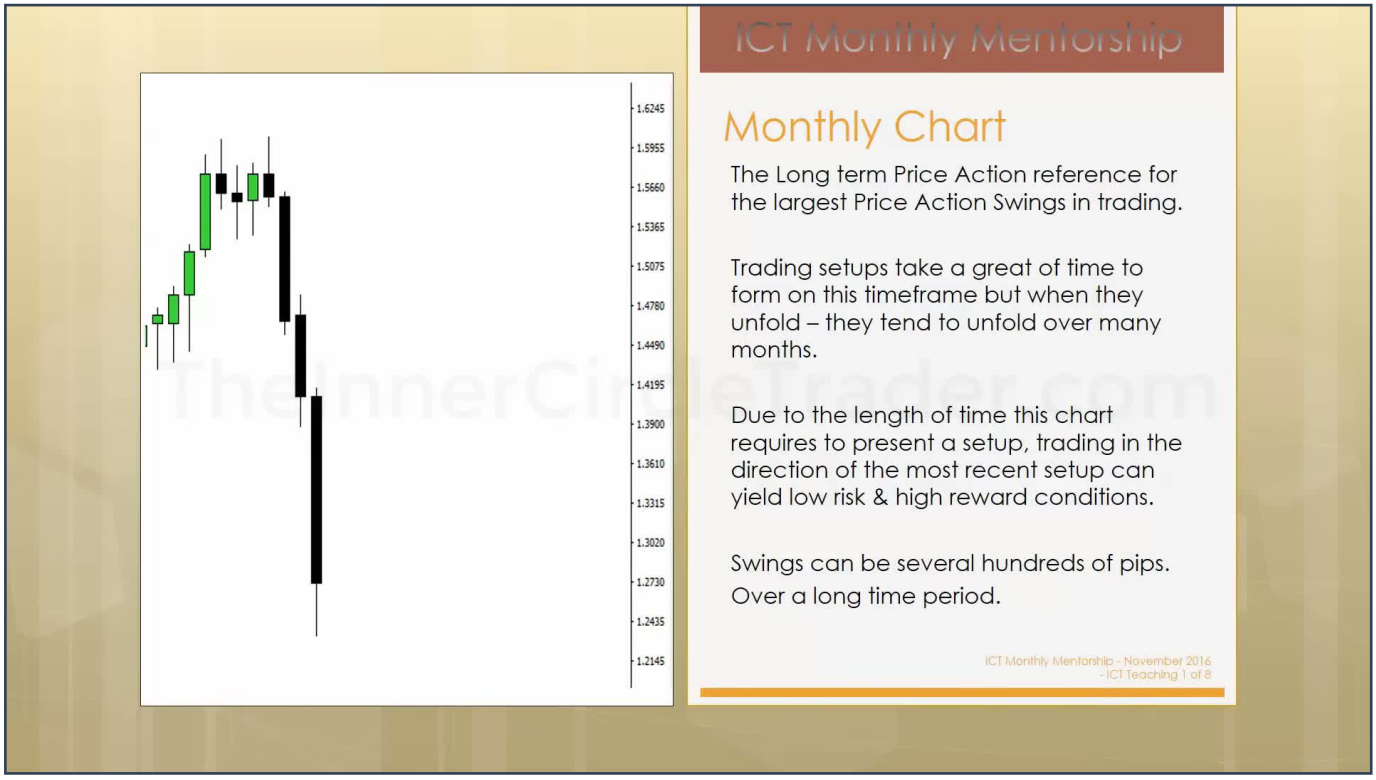
- Again, each one of these ranges are specifically a monthly range. In other words, the highest part of that candle for each individual candle is the high it traded to the most for that particular month. And the low of the candle is the lowest it traded for that month. The opening is where the month started trading and then it closed is the last trading day of the month where it closed.

- In these individual monthly candles, there are a plethora of setups.

- Think about what you have there. You roughly have about 20 trading days without holidays included, you know things of that nature and non-farm payroll, which we don't trade, but we'll just say roughly it's about 20 trading days per one of these candles. So every one of these bars represents 20 potential trading days.

- Now inside of those daily candles, if we were to break them down, there are individual setups as well.

- Also, inside of these candles of representation of monthly data, there are typically about four weekly candles. And again, inside the weekly candle, there's a great deal of opportunities in there.



So I want you to think like that when we look at a seed. If I were to show you a seed, say for instance an apple seed, I placed an apple seed inside your palm and I asked you what you see. Obviously, most of you would have a very myopic view and say, 'Well, you know, obviously it's an apple seed, I know I've seen it before.'

- But I want you to have that view where you see the apple seed, yes, but you see the potential that apple seed and how many trees that one seed could produce over time.

- And with the all the creation of all these new trees, the obvious is that you'll have more apples.

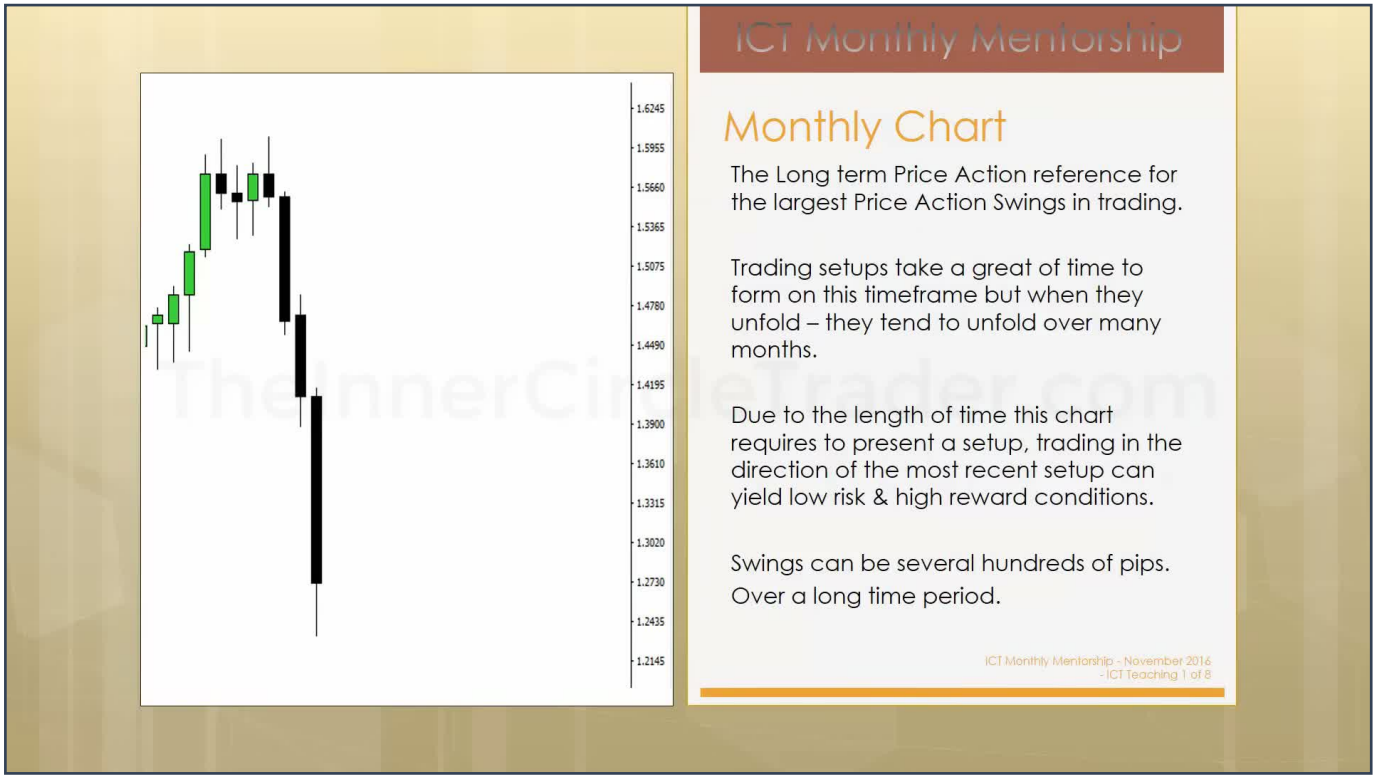
- So when we look at these higher timeframes, we look at as that's that seed, that really high probability trade scenario exists in the Monthly Chart.

- Now, most of you don't want to spend time in a Monthly Chart. Most of you could care less about what that Monthly Chart says or what it's done because there's no magic in the Monthly Chart because it takes what, a whole month to create.

- The problem is that's the wrong perspective. You need to look at the Monthly Chart and say, 'Hey, you know what, if the Monthly Charts moving around, and the Monthly Charts having sensitivity at specific levels, who would be moving price around on these levels?'

- And obviously the answer would be large banks and institutions. So if we have that mindset, we can go into the Monthly Chart with a great deal more of appreciation saying, 'Okay, well I know that the market's going to be driven by deep pockets if it's going to push price around on the Monthly Chart.' There's a great deal of deep pockets, smart money, banks, institutions; they're all going to be in here pushing price around.

- So it's in your best interest to understand what that Monthly Chart's going to do and what it has already done.



In this case, let's just say we opened up our chart and we saw the Euro Dollar here and this is what we see. So right away, without having any other forms of reference, we don't need anything like that.

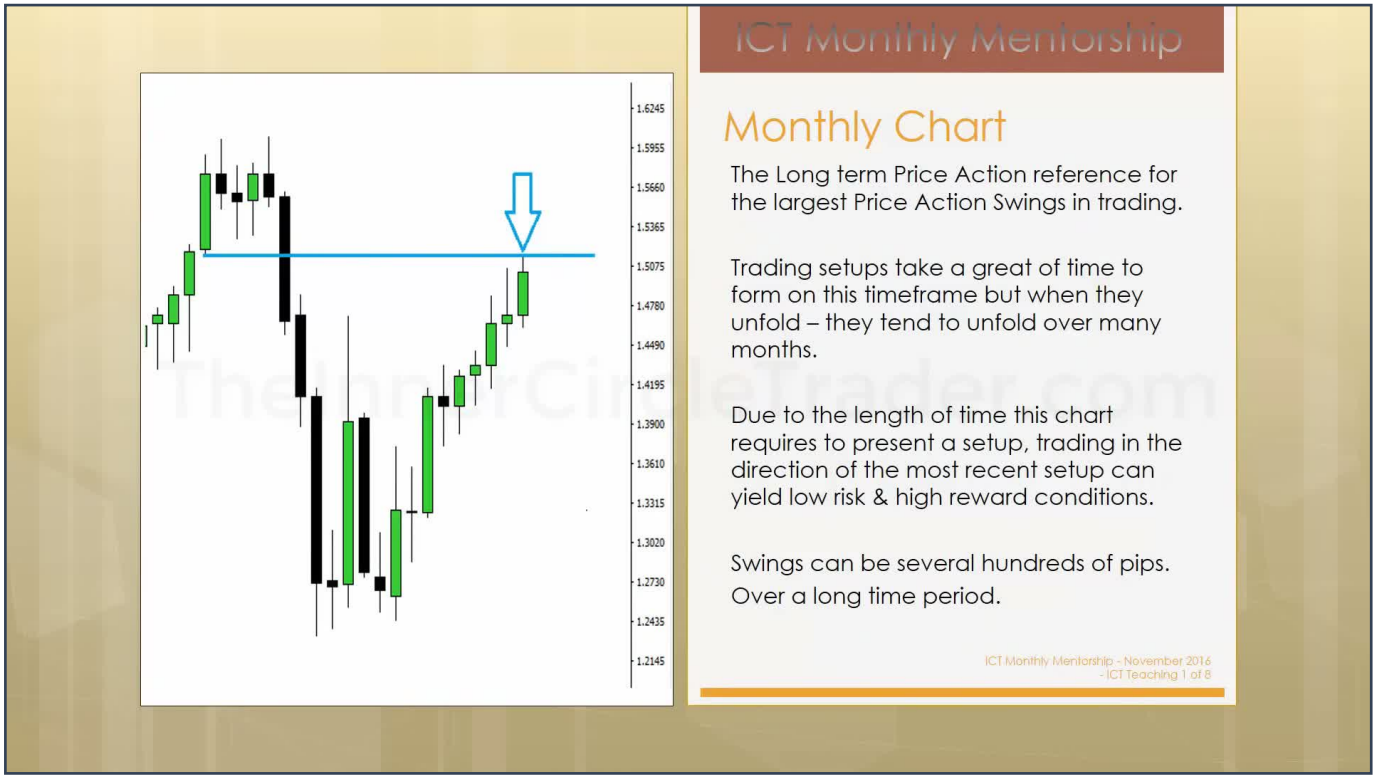
- And this is how I'm trying to tell you, understanding price action, it's very pure. I don't need to know where trend is prior to this sample size and data. I don't need to know what indicators are indicating bullish or bearishness. I don't need to know that either. I don't need to know what crossing overs of any moving average that took place.

- I decided where has price moved away from, and was it, it was a great deal of magnitude? Yes, obviously we moved away very strongly from a consolidation around the 1.51 or 1.52 level up to the 1.5950 level. So we had about 700-pip range or so.

- And when we see this, the way I want you to view price is your eyes goes immediately to that last up candle, because we understand that smart money is going to sell in up moves.

- They sold in that up candle, kept it in a range, and then finally it broke down below that up candle's low.

- So now the point is, yes, you've missed that boat, the opportunity's missed. You couldn't sell short there because we're going to assume that we're now just looking at the chart for the first time. You as a trader can say, 'Okay, I know that if it gets back up to that candle's low' – and again, this is the Monthly Chart – 'I'm going to have a trade and I'm going to define that trade by way of that specific up candle's low.'



So eventually when price does that, we have many months before it actually does it. Over a year transpires. Now think about this, now over a year transpires before price returns back to that up candle's low or that bearish order block.

- But as soon as it hits it, then you have a setup.

- Now the question is, is when price hits that, it takes a long time to get to that particular level. But as price was trading around that 1.2730 level, and eventually it trades through the 1.3050 level up through the 1.32 level, we have an indication that the price is probably going to want to go back up.

- And there are stops obviously around that 1.46 level with that big up candle right here. This big up candle right in here, it's going to be stops resting above that high, again, thinking about that concept that I gave you what to focus on in the September content of this mentorship.

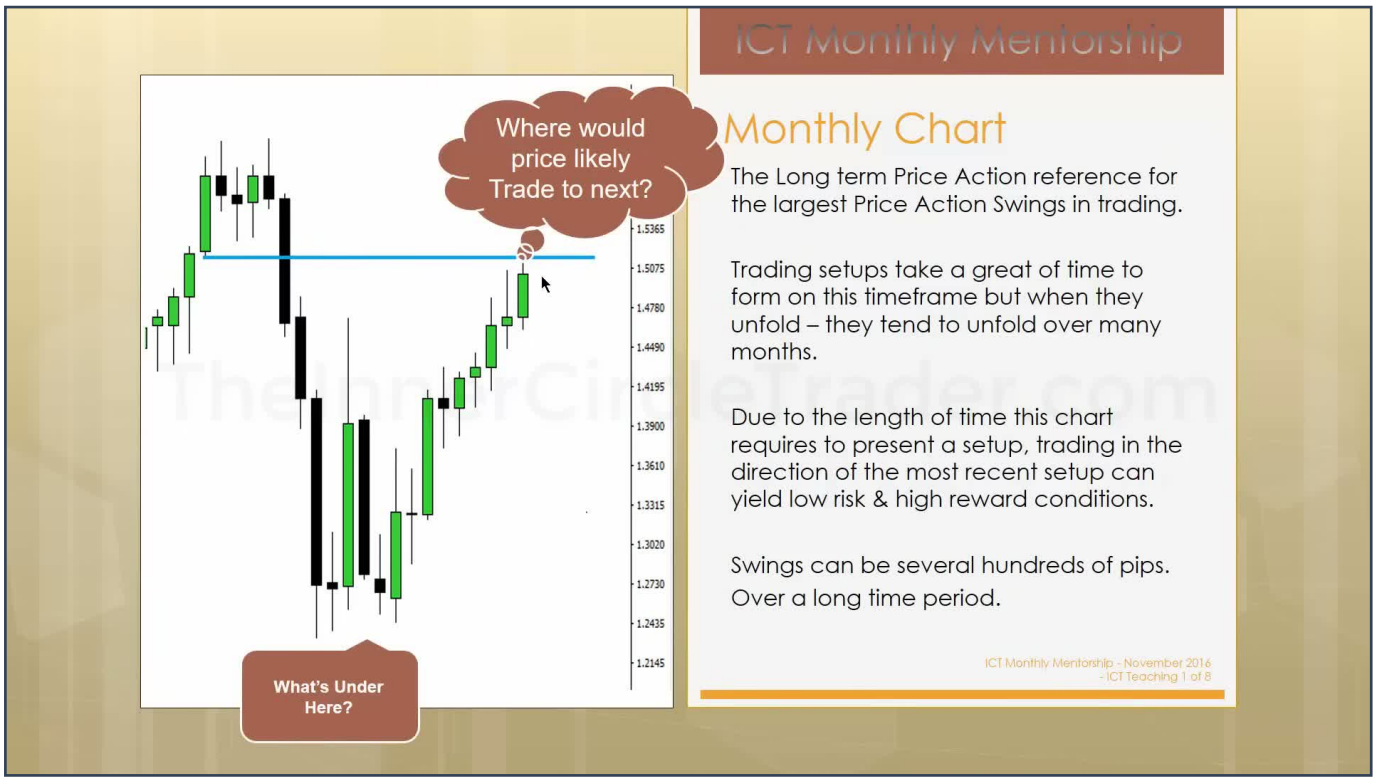
- So we have this candle breaking above this down candle, this bullish candle here. All of a sudden now, we have a willingness to do what we expect to see price try to trade back down into this down candle, and it does it here.

- So we can expect to see bullishness here. So if we see this, we know that there may be some bullishness on the upside, and price may reach up above to take these stops. And if it does that, it may reach back up here to this bearish order block.

- So when it finally gets back up to that bearish order block, we've had two instances where we can see where prices on a Monthly Chart broke down, trade all the way down here. We can see the bearish candle here that was violated on the upside, and then it returns back into that down candle.

- So we can see bullishness in the form of a bullish order block. In that case, we can see that price has a willingness to potentially range expand up into that return of that bearish order block right over here.

- But when it does hit this, when it finally hits that particular level there, the question is, where would price likely trade to next on the Monthly Chart? Again, this is no different than what you see me do on a 15-minute chart, and an hourly chart, or even a Daily Chart. But what, where would you reasonably expect to see price trade from once it trades at this level here?



Well what's under there? We got basically equal lows, but look at the bodies of the candles also, it's too clean, way too clean.

- Now again, think this is a Monthly Chart, folks, monthly.

- If we are looking at this right now for the first time and we sit in front of our charts and say, 'Okay, I see this level being hit, what could we do with this?' Obviously, we can expect to see price trading lower, but why? Why lower?

- Below those lows is going to be what? Sell stops. Now the question is this: who in their right mind would have sell stops below that low? And the answer to your question is is large funds.

- Large funds, long-term trend following funds will have stop loss orders right below that low. They will leave stops in for a very, very long time, and they have lots of money in play.

- So when the market trades at that basically that 1.5080 level, and it goes lower and expands lower, it's rushing down to get to those stops that are residing below the 1.22 level.

- And look at that last candle before it blows out the lows here, all these lows in here, that last candle when it hits it, look what it does, it explodes to run out those particular stops.

- Now again, I want to remind you that this is a Monthly Chart. So if we see this and we can outline where the market may reach up into, which took a trade duration of six months to unfold, but it took over 13 months to set up.

It took 13 months for this, basically the trade up, to get back to an area where we would see a setup form on the Monthly Chart. But then once the formation comes into fruition, look how many months it takes to unfold: you got one, two, three, four, five, six candles or six months.

- Look how much acceleration there is, it's half the time. Half the time it took for this chart to unfold and set up the setup, and then half the time, or basically six months, to get down to these stops.

- In this setup, I'm going to ask you a question: what type of trader are you?

- When price was hitting that 1.5075 to 1.5080 level or thereabouts, what type of trader would you be there? When price is most likely going to come down and clear out those stops, you have several opportunities to choose from.

- You can be a position trader and be short around that 1.5080 level, 1.51, and look for a move all the way down to the 1.22s. Now think about that, that's an enormous amount of time and potential range.

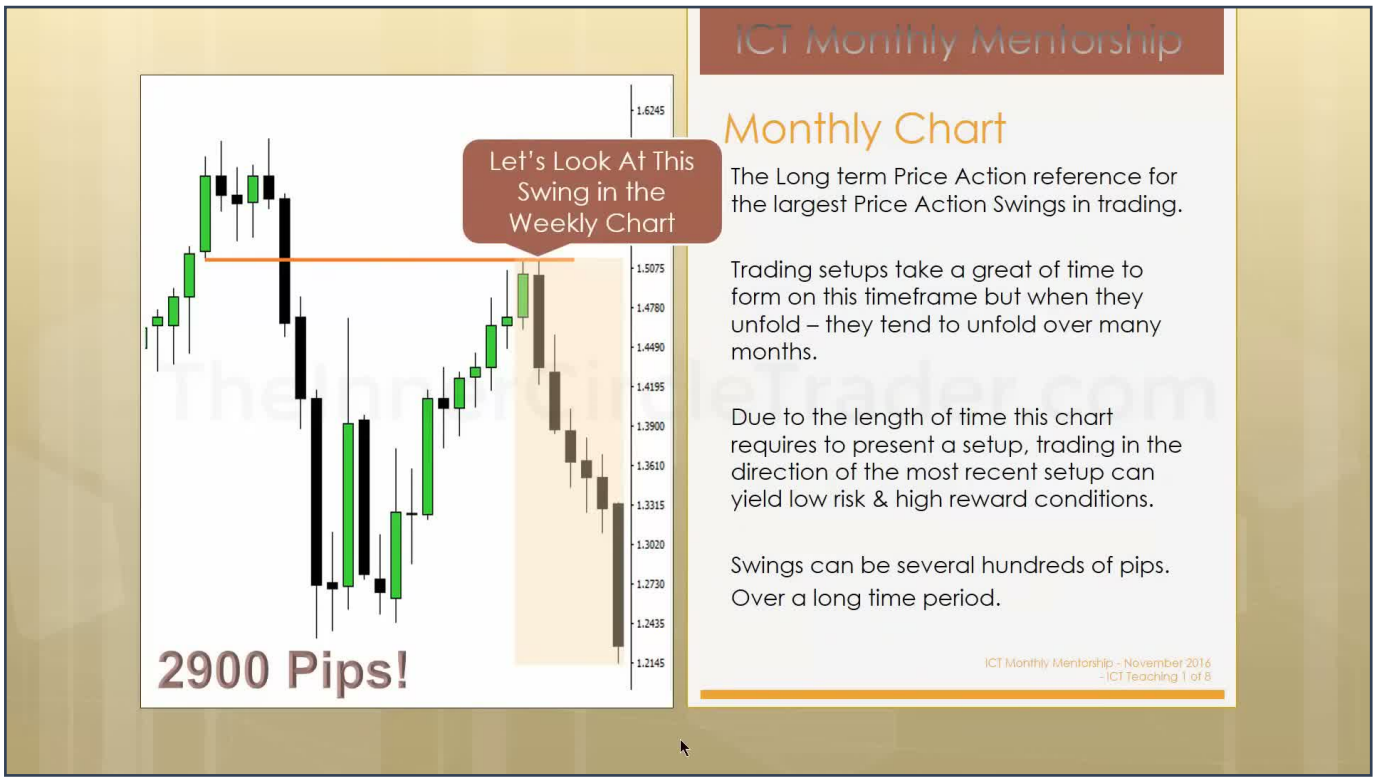
- Could you take that trade? Do you have the wherewithal to hold on to it? Personally, I couldn't hold that long, but does that mean I can't trade this idea or these perspectives on the Euro Dollar?

- If I can see 1.51 big figure, it's 1.51, or we return back to that bearish order block as we're noting here at that orange level, when price is trading there, it spent two months giving you an opportunity to get on board.

- If you see that and the reasonable expectation would be, 'Okay, well there's some equal lows down there, it's probably going to take a long time to do it,' but between the 1.51 level that we'll say and the 1.22 level, there's our range.

- So between those two reference points, we have a known range to work within. Again, this is a Monthly Chart. Before all these down candles form, we have the potential range identified. So we can now break this down and say, 'Okay, I already know where price may likely go relative to the Monthly Chart.'

- So how can we use this information going forward and go across all the spectrum of types of trading? Again, it's over 2900 pips for that price swing. 2900 plus pips.



So let's take a look at this swing on a Weekly Chart and refine that more in terms of defining setups for your trading model.

- Here's that same price swing and we're now looking at it on a Weekly Chart. Now this is an intermediate term price action reference point, so everything we see here is on the scale of intermediate term.

- So obviously because it's a Weekly Chart, it still takes a great deal of time for these things to set up, but it's a lot more refined when we break it down into a Weekly Chart, you can see a lot more detail.

- We can see obviously when the market trades back up into previous institutional reference points, like this down candle right before the move up. This down candle is a breaker, but is it breaking? It's breaking the old high here, running out stops.

- This breaker is lower than this one here, so we're going to have to refer to that one here as the initial run up, trades up into this range right there. There's a selling opportunity.

- We already know that the range is potentially going to expand to run out, based on the Monthly Chart, that this is where the liquidity is going to be. What kind of liquidity? Large fund liquidity.

- So the market expands, goes lower, then consolidates again. It trades lower and comes right back up into what? A bearish order block. So you can expect to see what? Another opportunity to sell off. Why? Because you're trading in the direction of the Monthly Chart.

- But now you're expecting the Weekly Chart to expand, and it's going to most likely expand down into this level where liquidity will be resting.

We could take this one step further and refine it down into a Daily Chart. Now obviously the Daily Chart is going to be a short term action based timeframe where you can see all of the intermediate and you can see the short term highs and lows in the marketplace.

- But more specifically, you can see how you can actually frame your short term trades and your day trades. Again, we're not going to talk about day trading for this model here, but for short term trading, we're going to look at specifics that deal with that.

- We know that the range is defined from a known high and a known low. The high is where that bearish order block was on the Monthly Chart. The low at which we're aiming for was those lows on the Monthly Chart where there were equal lows, so we knew the stops that were resting below that.

- So if we know that, we can take our fib and lay it across those two reference points, and by doing so we end up doing what? We start grading that price swing.

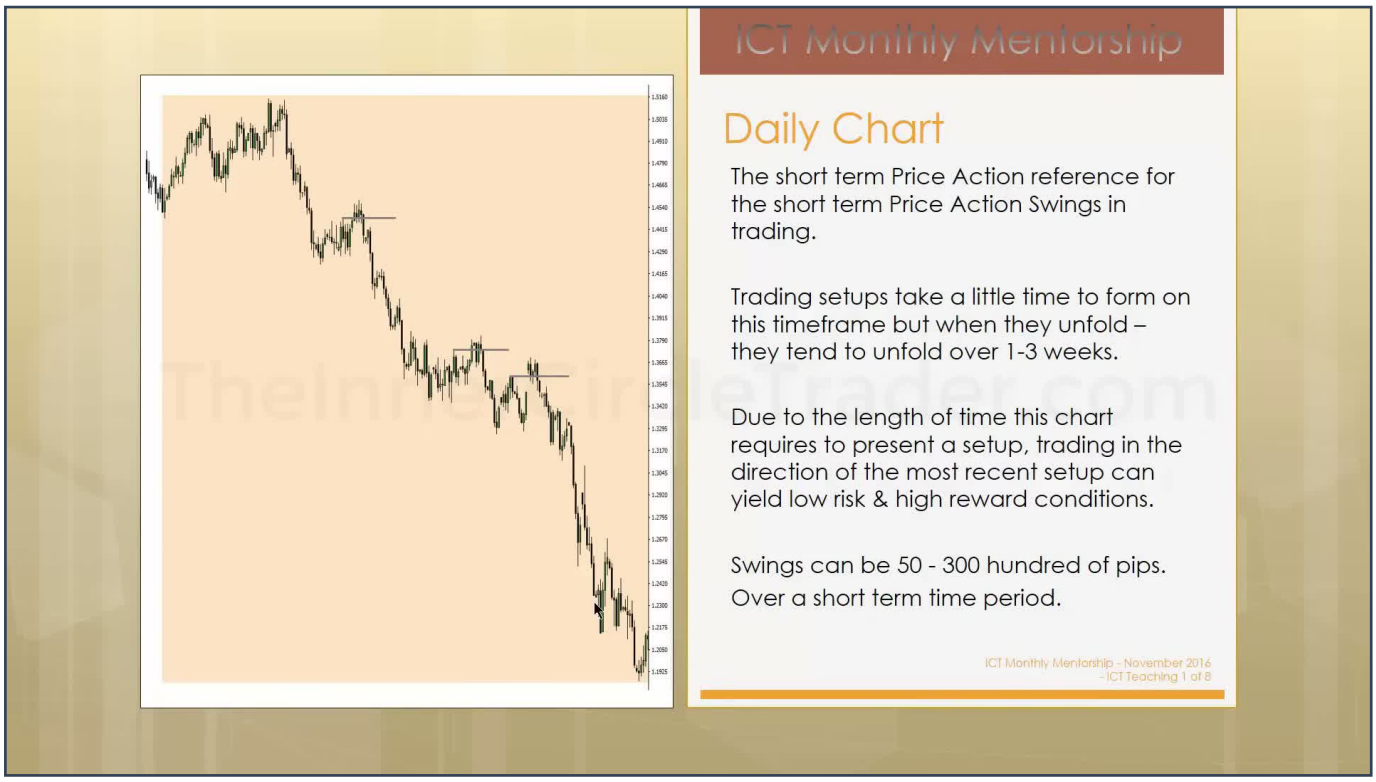
- So these levels that we have here, these horizontal lines, they're areas at which the market should see new setups form. Now here's the thing: we knew the range before it actually traded, so we can anticipate new trading scenarios or ideas to form in our charts when price trades at this particular level.

- And setups will form in close proximity to these levels as well. So every time we see this is the first quarter lower from the high down to the low, so this is 25% of that range, we see a setup in here. Market trades lower, we go into equilibrium, the market does what? It trades lower, it comes right back to equilibrium, expands again, comes back one more time, returns into the range, sells off again.

- Market sells off, comes back up, fills in a void, sells off again one more time, and closes and hits the

terminus of the move.

- Now think, all these things that we've been teaching so far, they're repeating themselves, but the thing is, this was all outlined on a Monthly Chart, but the trading ideas are refined further by breaking down the Monthly Chart into a Weekly Chart, then Weekly Chart breaking that down into a Daily Chart.



Now as a pattern trader or a setup seeking trader like you all are, there are several things that we do in the ICT camp.

- We look for Optimal Trade Entries, which is a simple return back into a known range, and that's the only indicator based ideas I like to use, and it's based on fib and returning into a known open range.

- The other ones are obviously Order Blocks.

- And then there's Stop Runs, which we classically call the Turtle Soup, which is a false breakout, which is what you're seeing here.

Every instance we see on this chart, we have a short-term high here. Now think inside this shaded area, the Monthly Chart we used it to frame what? The idea that we're going to go long-term lower. As we are in this shaded area, until it ultimately hits the 1.2175 level or so, we're going to be bearish on the marketplace.

- So we look for what? The marketplace on the Daily Chart to seek liquidity above old highs. Why would they want to do that? The market's traded lower.

- This short-term high, relatively equal to this one here, there's going to be buy stops resting above that short-term high. They run above it and then explodes lower. Okay.

- We have a short-term high here, the market trades above it, and then explodes lower. I want you to notice every single time that the market takes out a short-term high just by a little bit and then quickly accelerates on the downside. Why is that taking place? Because they're absorbing liquidity on the buy side.

- They want to pair up their orders to sell into those known participants that want to, they want to buy here with their trailed stop loss in the form of a buy stop. Because think about if you're short, how do you protect your position? You put a buy stop above a recent high. And then typically what will happen is the market will come back and knock you out and you'll start cussing, or the market will move away in your favor and you can look for another point which you want to lower that stop loss protecting and locking in profit.

- Well, what we do is we look for these opportunities in the form of false breaks above an old high with the idea on a higher timeframe chart that indicates that price may go lower. So this is like a holy grail setup where it's absolutely barn burner, you get in there and you look for a short term high to be violated on a Daily Chart.

- Look how many times it does it in the scope of all these many days, but look at the logical areas at which it does it: it's close to those grades that we did on the overall total price swing that we expect to see it.

- It does it here, we have it here, we have it here. We don't see it in here, but if we go down to a lower time frame, you will see it. And then we see another one in here as well.

- So when we look at price, if you are looking to trade only stop runs, you first have to know why the stop run would be necessary or why it would be influential in terms of price action, and you get that from the higher timeframe like we showed with the Monthly Chart.

- You hold on to that bias until clearly you're showing that you're wrong. In other words, this thing could easily turn around here and started trading all the way up and started getting violently bullish, and that would have to obviously make you change gears or at least put pause on the notion you expect to see the Euro Dollar to trade lower.

- But until it does that or it hits the terminus or where we ultimately think the price is going to go, we stay with that mindset. We stick with it.

So if you're not a stop run setup trader, in other words, you can't see turtle soups, if you don't have the ability to trust that or note it what you're selling into, okay, is a high probability scenario where it's going to see an explosion in the higher timeframe direction, in this case down, there's other things you can trade.

- And they come in way of breakers and various order blocks.

- Now obviously the whole move starts back here with that Monthly bearish order block that it trades up into, but look what it does: it comes in the formation of a turtle soup or a false break or run above equal highs, taking out the buy stops, and then what happens? The market surges quickly.

- Okay, then we had that previous turtle soup here, but now look, say you can't see the turtle soup. No problem, there's absolutely no problem. This down candle in here, right before the move up above this short term high, that down candle is a breaker, and you'll learn about that in this mentorship.

- But as price is trading in here and trades back up into the breaker, you can now expect to see price to trade lower, and it does that.

- We have another breaker in here: down candle right before the up move that takes out a previous high. So you can't see the turtle soup here? No problem. See it in hindsight. The market's already moved down here when trades back up into that breaker, you can go short.

- What about if you are an optimal trade entry trader? You pull the fib from this high down to this low, you'll get a 79% where your optimal trading should get short.

- Okay, then you have another breaker here: you have a down candle right before this move above this

short term high. When price trades back up to it here, you get short at that breaker. Sell off, boom.

- What about this one here? This is a bearish order block: last up candle right for this down move. Returns to that level, sell it short, and there it is.

- What you're doing is you're using the higher timeframe and you're using your defined setup for your model.

If you're a trader that's focusing on being short, you need to identify what pattern you're going to be looking for. It could be one or two, but it's important to know one, you only need one good pattern. And I only have really technically three.

- I trade inside of a range. Okay, where I'm pulling back into an exposed range. Okay, or if it's bullish and it rallies up, I'm waiting for the pullback to close in that range and then I'm going to buy it again.

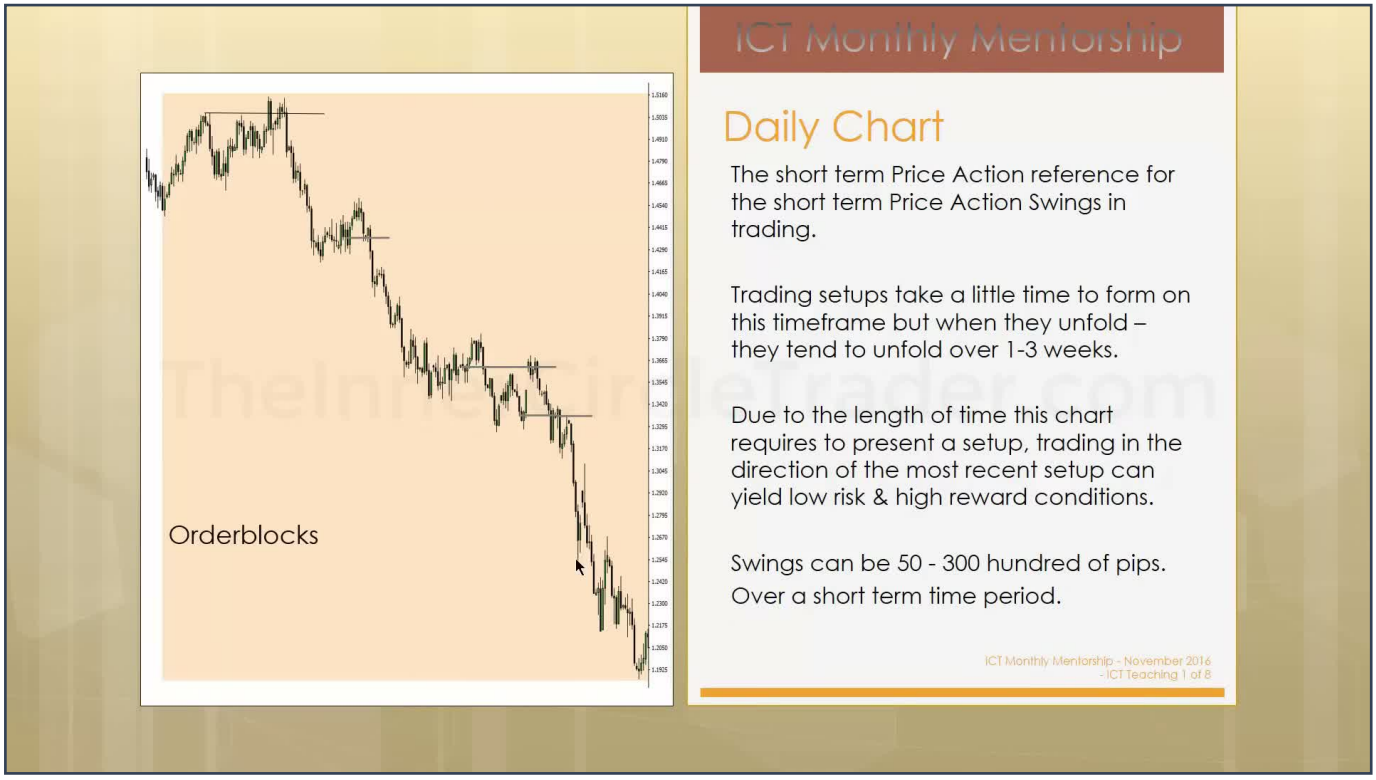
- Or, I'm selling at a bearish order block.

- Or, I'm selling short into a run above a previous high for sell stops.

- I'm only taking three setups. There's only really three setups that I trade. I'm trading inside the range. If there's nothing that I can see as a violation above old high or below low.

- I'm selling above a previous high if I'm bearish.

- Or I'm selling a previous bearish order block if I don't believe that it's necessary to go up for those stops, and you'll learn when those conditions are there because I know what you're thinking, 'That's the thing I need to know, ICT. That's the one because if it's me trading back to a bearish order block, but it could potentially be a turtle soup, how do I know which one?' You're going to learn that, but I got to give it to you in pieces at a time.



So again, when we look at the market like this and we have our timeframe selection, and then we have our setups for our particular trading model, and that model is going to be defined by you over time; no one's going to be able to tell you, 'This is how you do it.' Okay, I'm giving you suggestions.

- And the three setups that I particularly trade, you're going to be able to gravitate to one of them, and it may be order blocks. But for some of you, the order block is going to be problematic; it's going to be, 'I don't know which one to trust,' but you'll clearly see where the stop runs are and you'll be able to trade turtle soups.

- But maybe you can't do that either. Well, you'll trade in liquidity voids. Okay, you'll wait for the price to come back down, close in a range, and then you'll wait for expansion to happen. But the point is, these three forms of discipline that I use for trading, they always exist in all timeframes.

- It doesn't matter if you like order blocks and your best friend you're trading, you're studying with and you're comparing notes with (which you really shouldn't be doing by the way, as I say that in this mentorship), but if you know, if you're if you're seeing other people talk about their ability to do certain things and you feel frustrated that they are excelling in an understanding of order blocks and you are struggling but you can see the turtle soup run on stops, that's your pattern. Don't force it.

- Don't try to just because order blocks or somebody's showing a lot of trades because they can see their order block, there's no preference over this. It's whatever I see at the time when I turn the charts on.

- And if there's a void and it comes back into that void, I know what I'm going to do: I'm going to look for that run to try to run that previous high. If we rallied up and we created a liquidity void on the upside, when that trades back down to that range, I'm going to buy it with an expectation it's going to make a new high and

that's the only setup I'm looking for. I'm not looking for 5,000 pips, I'm just looking for that known range, and you'll learn all that.

- But don't think that I'm forcing anyone to be any one particular trader, but you will learn these three conditions in the marketplace because that's the only three I trade with today. I don't do anything outside of that.

- I don't trade overall patterns, I don't trade you know, all the things that I shared in the past, they were all hallmarks of my coming up as a trader, but I don't do all those things today. I only trade these three things, and I don't need anything more. In fact, I could just reduce it to one, but because I like a lot of action, I will look for these three things every single day across the charts and I'll find the setup, and I've shown it to you, proven to you on a daily basis.

- When you understand these three characteristics in price action, nothing evades you: not a reversal, not a trend following pullback, and not an expansion out of a consolidation. Nothing will evade you; you'll have everything you need to know in a repertoire and a toolbox to trade any market profile.

- So with that, I'm going to wish you good luck and good trading.